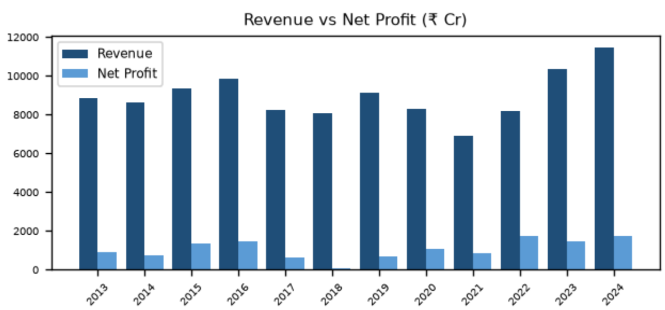
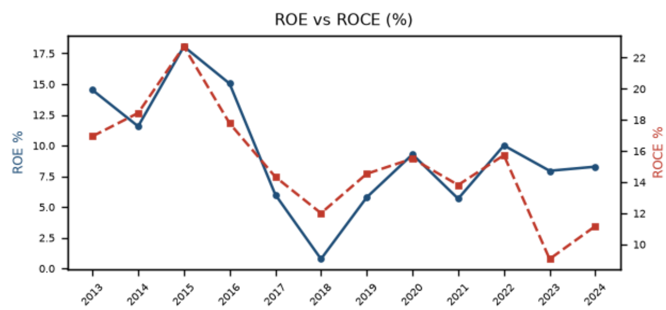
JSW Energy Ltd (JSWENERGY)

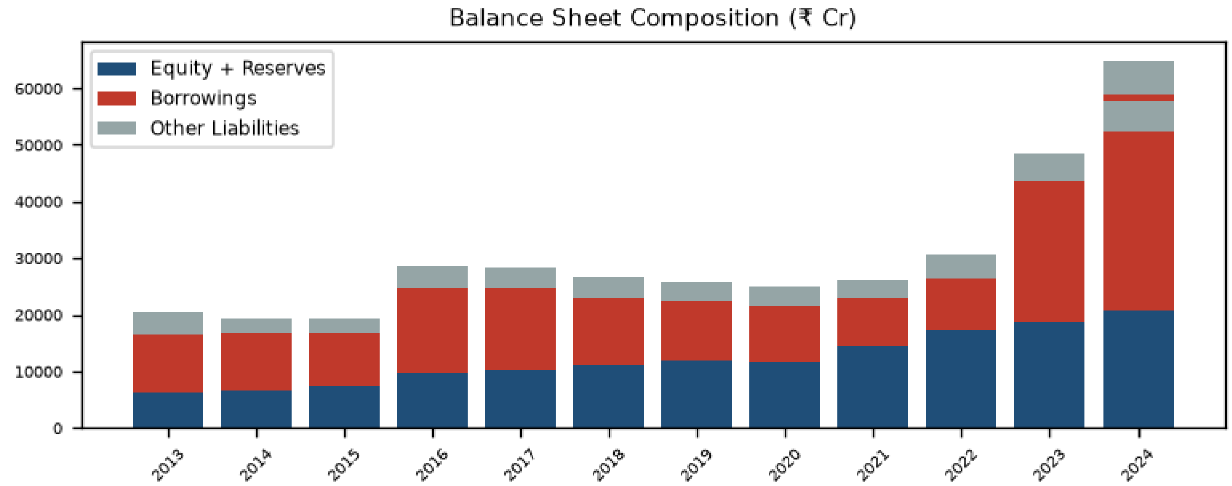
Energy — Power & Utilities

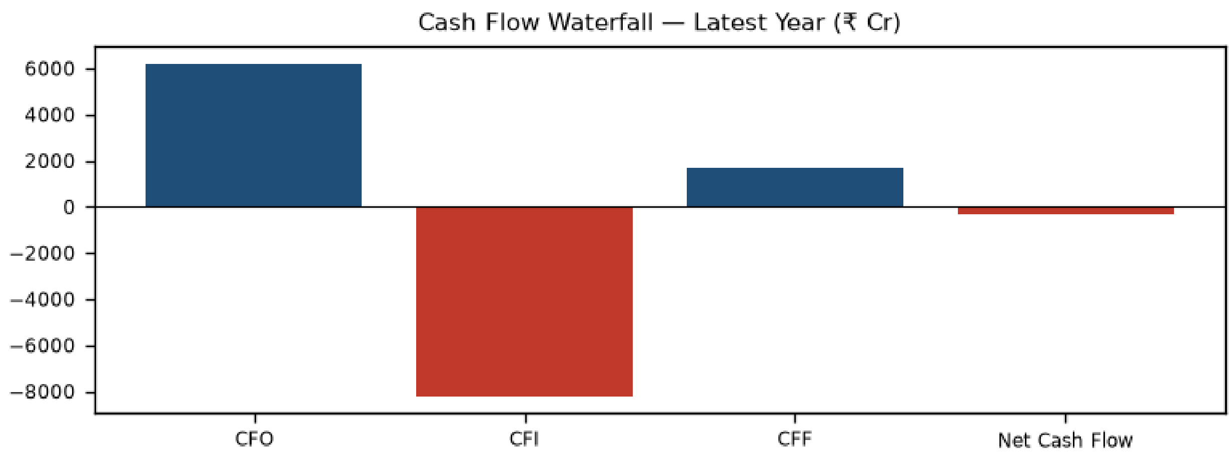
ROE	ROCE	Net Profit Margin
8.3%	11.2%	15.0%
D/E	**Revenue CAGR (5yr)**	**FCF (latest, Cr)**
1.5x	4.7%	-1963





JSW Energy Ltd (JSWENERGY) — Balance Sheet & Cash Flow





Capital Allocation Pattern: Mixed

Pros

✓ Operating profit margin above 25% indicates strong pricing power and cost discipline (71% confidence)
✓ Net profit compounding at above 20% over 5 years creates significant shareholder value (60% confidence)
✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (63% confidence)
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (76% confidence)

Cons

✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk (70% confidence)
✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (80% confidence)
✗ Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum (60% confidence)